

AI Portfolio Management

Allocating scarce delivery capacity across AI initiatives by risk and time horizon

GLOSSARY 03 - SHEET 8 / 8

PROFESSIONAL DEFINITION

AI portfolio management is the allocation of an organisation's scarce data, engineering and change-management capacity across a set of AI initiatives that differ in risk, time to value and strategic horizon. It requires that initiatives be balanced across horizons - core improvement, adjacent extension and transformational bets - and that the constraint being allocated be delivery capacity rather than capital, since capital is rarely the binding limit (Baghai, Coley and White, 1999; Nagji and Tuff, 2012).

WHO DEFINED IT ORIGINALLY

The three-horizon structure was set out by Mehrdad Baghai, Stephen Coley and David White of McKinsey & Company in *The Alchemy of Growth* (1999). Bansi Nagji and Geoff Tuff (2012) reformulated it as the innovation ambition matrix in the *Harvard Business Review* and reported the approximate 70-20-10 allocation observed among firms with superior returns.

WHY THIS DEFINITION WAS DEVELOPED

AI initiative portfolios accumulate at the low-risk end, because each individual proposal is easier to approve there, and firms therefore hold a hundred efficiency pilots and no strategic option. A horizon-balanced structure makes the imbalance visible at portfolio level, where it can be corrected, rather than at proposal level, where each decision looks reasonable.

FIGURE 1 - THREE HORIZONS OF AI INVESTMENT



Figure 1. The three horizons run concurrently and are judged by different metrics. Applying horizon-one hurdle rates across the portfolio removes horizons two and three within about two planning cycles, which is the usual reason a firm holds many pilots and no options (after Baghai, Coley and White, 1999).

HOW IT IS USED

Classify each initiative by horizon, compare the resulting distribution against the intended allocation, and treat the gap as the decision; then govern each horizon differently, since a horizon-three bet judged on horizon-one metrics will always be cancelled.

WHEN IT IS USED

At annual planning, when the pilot count rises without production deployments, at quarterly portfolio review, and when a promising initiative has been terminated for failing to show a near-term return.

BY WHOM IT IS USED

Investment committees, transformation and portfolio offices, chief data and AI officers defending long-horizon work, and finance functions setting the metrics by which each horizon is judged.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor tool was the stage-gate process, which assessed each project independently against a common hurdle rate and thereby ensured the systematic elimination of long-horizon options. Three-horizon portfolio management assesses the distribution rather than the project, and applies horizon-specific metrics, so that an initiative with no near-term revenue is judged on learning and option value rather than on a discounted cash flow it cannot produce.

RELATED DEFINITIONS IN THIS COURSE

AI Strategy - Unit 3

AI Roadmap - Unit 4

Proof of Concept and Pilot Purgatory - Unit 4

Benefits Realisation - Unit 4

AI Operating Model - Unit 3

SOURCES (HARVARD REFERENCING STYLE)

Baghai, M., Coley, S. and White, D. (1999) *The Alchemy of Growth: Practical Insights for Building the Enduring Enterprise*. Reading, MA: Perseus Books.

Cooper, R.G. (1990) 'Stage-gate systems: a new tool for managing new products', *Business Horizons*, 33(3), pp. 44-54.

Nagji, B. and Tuff, G. (2012) 'Managing your innovation portfolio', *Harvard Business Review*, 90(5), pp. 66-74.